

Multiple Choice

1. **Answer:** B

Options: A) Search, experiment, and credence properties.; B) Search, experience, and credence properties.; C) Sell, trust, and credence properties.; D) Search, belief, and confidence properties.

Note: The correct answer is "search, experience, and credence properties" because these terms specifically describe the three types of properties that characterize how consumers evaluate different services based on their ability to assess quality before, during, and after consumption.

2. **Answer:** A

Options: A) match various functional areas of the company with customer needs; B) distribute the work involved in managing an account; C) equitably manage the sales bonus pool; D) create multiple points of contact between the customer and the company

Note: The primary objective of team-based selling is to align the diverse expertise and resources of different functional areas within a company to effectively address and fulfill the specific needs of customers, thereby enhancing customer satisfaction and driving sales success.

3. **Answer:** A

Options: A) Service quality.; B) Service action.; C) Service recovery.; D) Service satisfaction.

Note: Service quality is correct because it emphasizes that the perceived value of a service is heavily influenced by the gap between customer expectations and their actual experiences during the service encounter.

4. **Answer:** A

Options: A) Research and evaluation; B) Strategy and evaluation; C) Strategy and implementation; D) Objectives and implementation

Note: The correct answer is "Research and evaluation" because all four planning models emphasize the necessity of gathering data and assessing outcomes to inform effective decision-making and strategic planning in business contexts.

5. **Answer:** A

Options: A) Advertising; B) Public relations; C) Third-party endorsement; D) Puffing

Note: Advertising is the term that specifically refers to the paid promotion of a company, product, or service through various media channels, making it the correct answer to the question.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: Scenario planning and contingency planning both involve anticipating possible future events and developing strategies to address them, making them fundamentally aligned in their purpose of preparation for uncertainties.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because extraverted individuals are generally characterized by being sociable and outgoing rather than inherently calm and self-confident, traits more commonly associated with introversion or specific personality types.

8. **Answer:** False

Options: A) True; B) False

Note: The process of evaluating alternative options before making a choice is referred to as decision-making, not adoption, which typically pertains to the acceptance and implementation of a chosen option.

9. **Answer:** True

Options: A) True; B) False

Note: Postmodern ethics prioritizes subjective experiences and emotional responses over objective rationality, suggesting that moral decisions are deeply rooted in personal feelings and relationships with others.

10. **Answer:** False

Options: A) True; B) False

Note: The way in which a service is delivered significantly influences customer perceptions and experiences, which directly impacts the service's relationship with the product being offered.

Long Form Response

11. **Answer:** Causal research plays a crucial role in determining the optimal pricing strategy for a product sold at different prices across various locations, especially when marketing factors remain constant. By establishing cause-and-effect relationships, this type of research helps businesses understand how changes in pricing influence consumer behavior and sales performance in distinct markets. For instance, through experiments or observational studies, companies can identify whether a reduction in price leads to increased demand in one location while not having the same effect in another. This insight allows businesses to tailor their pricing strategies based on empirical evidence, ensuring that they maximize profitability while responding to local market dynamics. Ultimately, causal research provides the necessary framework for informed decision-making in pricing strategy development.

Note: correct because causal research enables businesses to analyze the impact of

pricing variations on consumer behavior and sales in different locations, allowing for informed decisions on optimal pricing strategies while controlling for constant marketing factors.

12. **Answer:** Grunig and Hunt's (1984) situational theory of publics identifies different types of publics based on their awareness and involvement in issues, classifying them into segments such as active, aware, and latent publics. Active publics are engaged and take action, while aware publics recognize issues but do not engage, and latent publics are unaware of the issues. Dormant publics, on the other hand, are excluded from this framework as they remain inactive and uninformed about any issues, thus lacking the potential for engagement or influence. This exclusion emphasizes the theory's focus on publics that can actively participate in communication processes, highlighting the importance of awareness and engagement in effective public relations strategies. Consequently, the situational theory prioritizes those groups that can contribute to dialogue and change, leaving dormant publics outside the scope of strategic communication planning.

Note: correct because it accurately describes Grunig and Hunt's classification of publics based on their awareness and engagement levels, emphasizing that dormant publics are excluded due to their complete inactivity and lack of awareness regarding any issues.